THE HERBERT TEAM

FIRST-TIME HOME BUYER'S PLAYBOOK

Everything I Wish Every Home Buyer Knew Before They Bought a House

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LICENSED IN ALL **50 STATES**

More Than a Mortgage. A Mortgage Solution.

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How to Use This Playbook

You do not need to read this entire book before calling me.

This is meant to be a guide you can come back to throughout the home-buying process - not homework you have to finish before we talk.

If you are just beginning, spend time in the early chapters on readiness, preapproval, credit, debt and cash to close. When you start looking at homes, come back to the chapters on choosing the property, inspections, appraisals and what happens after your offer is accepted. Once you are under contract, the closing and first-payment chapters become your reference.

The most important thing to remember is that buying a home is not one giant decision. It is a series of smaller decisions. My job is to help you understand those decisions, show you the tradeoffs, and build a mortgage solution around what you are actually trying to accomplish.

> **THE BIG IDEA**
>
> YOUR GOALS. YOUR NUMBERS. YOUR OPTIONS. Start there. Build the mortgage strategy around them.

Welcome

The goal isn't simply getting you a mortgage. It's finding the mortgage solution that fits what you're trying to accomplish.

Buying your first home is exciting, but it can also feel like everyone suddenly starts speaking a different language. Preapproval. Escrow. Earnest money. Debt-to-income ratio. Appraisal. Prepaids. APR. Underwriting. Cash to close.

This Playbook is designed to slow that down and make it understandable. You should know what is happening, why it matters, and what decisions are actually yours to make.

I also want you to know something from the beginning: you do not need to have every answer before you call me. A lot of my job is asking the right questions. Why do you want to buy? What does a comfortable payment look like? How long do you think you will keep the property? Is your priority keeping cash in the bank, lowering the monthly payment, or paying the house off faster?

Those answers matter because the 'best mortgage' is not the same for everybody.

> **MORE THAN A MORTGAGE**
>
> A mortgage is a financial tool. The right solution should support the life and goals you are building around the home.

CHAPTER 1

Are You Really Ready to Buy?

A lot of buyers start with the market: Are prices too high? Are rates going down? Should I wait six months? Those are reasonable questions, but they are not the first questions I would ask.

I would start with your life.

How stable is your current situation? Do you expect to stay in the area? Are you newly married and planning to have children? Are you already outgrowing your current place? Are you buying a starter home that may become a rental later, or are you trying to find a house you can stay in for ten or fifteen years?

There is no perfect market that sends you an invitation saying, 'Today is the day.' There is only a market, a set of numbers, and your personal situation.

JASON'S TAKE

Your life matters more than perfectly timing the market.

Homeownership also changes your responsibilities. When you rent, the landlord usually owns the roof, the water heater and the HVAC problem. When you own, those responsibilities become yours. That does not mean buying is bad - it means your budget should leave room for life after closing.

The goal is not to stretch every dollar just to say you bought a house. The goal is to buy a house you can enjoy owning.

Questions to Ask Yourself

- Why do I want to buy right now?
- How long do I realistically think I will live in the property?
- Could my job or location change in the next few years?
- Am I planning to get married, have children, work from home or downsize?
- Would I ever want to keep this property as a rental?
- What monthly payment feels comfortable - not merely technically possible?
- How much cash do I want to keep after closing?

You do not need perfect answers. These questions simply give us a direction. Once we understand the direction, the financing decisions become much easier to evaluate.

CHAPTER 2

Start With a Conversation, Not a House

The home-buying process should start before you fall in love with a house.

The first thing I want to understand is what you are trying to accomplish. I will ask why you want to buy, what your timeline looks like, what type of property you are considering, what payment range feels comfortable and what you want your money to do after closing.

Then we move into the application. The application is a snapshot of your recent work history, residential history, income, assets, debts and other information needed to evaluate the mortgage.

THE PROCESS

Conversation → Application → Documents → Review → Preapproval → Numbers Conversation

Once I have the application and the supporting documentation I need, I can start putting the puzzle together. That is where we look at qualification, but also strategy.

I want you to know two numbers: what you may be able to qualify for and what payment you actually want. Those are not always the same number, and that is okay.

In many straightforward situations, the initial review can be completed the same business day once everything needed is received. More complicated files can take longer because the goal is not speed for the sake of speed - the goal is a reliable answer you can confidently shop with.

What Documents Might I Need?

Documentation depends on how you earn income and the program we are evaluating. The purpose is not to make you jump through hoops. It is to verify that the information used to approve the loan is accurate.

W-2 / SALARIED BORROWER	SELF-EMPLOYED BORROWER
Common examples can include recent paystubs, W-2s, asset statements and identification. Additional documentation may be needed depending on overtime, bonuses, commissions or employment history.	Documentation may include personal and business tax returns, K-1s, a current profit-and-loss statement, balance sheet, business bank statements or other documentation depending on the program.

If your income is unusual, tell me upfront. Commission income, bonuses, multiple jobs, business ownership, rental income, recent job changes and variable income are all things we can work through much more easily when we know about them early.

WHY I ASK FOR DOCUMENTS EARLY

I would rather find and solve a documentation question before you are emotionally attached to a house than discover it three days before closing.

CHAPTER 3

Prequalification vs. Preapproval

PREQUALIFICATION	PREAPPROVAL
A preliminary review generally based on the information provided in the application and credit profile, without necessarily validating all income and assets with supporting documents.	A more complete review that validates the application with supporting documentation such as income and assets before you begin shopping.

Both terms are used differently across the industry, but the practical distinction is simple: how much of the file has actually been verified?

A strong preapproval gives you more confidence in your numbers and can make your offer more credible because we have already done more of the work upfront.

I'd rather do the work upfront.

That does not mean nothing can change. The property still has to qualify, the loan still goes through underwriting, and your financial situation still needs to remain consistent. But the more we validate before you shop, the fewer surprises we should have later.

CHAPTER 4

How Much House Can I Afford vs. How Much Should I Buy?

WHAT YOU CAN QUALIFY FOR ≠ WHAT YOU SHOULD SPEND

Mortgage qualification is based on guidelines. Your real life is not.

An underwriting system can evaluate qualifying income, monthly debt, credit, assets and the proposed housing expense. It does not know that you love to travel twice a year, want to keep investing every month, have daycare expenses, are saving for a business, or simply sleep better with more money in the bank.

That is why I do not want the conversation to end at 'Congratulations, you qualify for X.' I want to know what the payment feels like to you.

MAXIMUM QUALIFICATION	COMFORTABLE PAYMENT
The upper end the guidelines and underwriting findings may allow based on the file.	The housing expense that fits your real budget, savings goals and lifestyle.

JASON'S TAKE

The purpose of knowing your maximum isn't to spend it. It's to understand your options.

Build the Budget Backward

One of the best ways to shop is to start with the payment you are comfortable with and work backward into a price range.

That payment should consider more than principal and interest. Depending on the property and loan, the housing expense can also include property taxes, homeowners insurance, mortgage insurance, HOA dues and other applicable obligations.

Two houses with the same purchase price can have very different monthly costs because of taxes, insurance or HOA dues. This is why I would rather compare the whole housing expense than just the sales price.

CHAPTER 5

Credit, Debt & Qualification

A common question is, 'What credit score do I need to buy a house?'

There is not one universal answer. Different loan programs and different overall files can have different requirements. Credit also affects more than eligibility - it can affect pricing and how easily an automated underwriting system approves the file.

The important thing is not to disqualify yourself because of a number you saw on a consumer credit app. Let us look at the actual mortgage credit profile and the full situation.

> **DEBT-TO-INCOME RATIO**
>
> Monthly qualifying debts + proposed housing expense ÷ qualifying gross monthly income = debt-to-income ratio (DTI).

Debts that commonly matter include items reported on the credit report such as auto loans, student loans, credit cards, personal loans and mortgages. Certain obligations such as alimony, child support and negative rental income can also matter.

Everyday expenses such as groceries, gasoline, utilities and cell-phone bills generally are not entered into mortgage DTI the same way. But they absolutely matter to your personal budget. That is another reason the maximum approval and the comfortable payment can be different.

What About a Non-Borrowing Spouse?

In many situations, a spouse who is not borrowing is not included in the qualifying income and debt calculation. However, certain government loan rules in community-property states can require consideration of a non-borrowing spouse's debts.

This is a good example of why mortgage advice has to be specific to the borrower, the state and the loan program. A rule that applies to one buyer may not apply to the next.

CHAPTER 6

How Much Money Do I Really Need?

YOU DO NOT AUTOMATICALLY NEED 20% DOWN.

The 20% down myth stops a lot of people before they ever have a real mortgage conversation.

There are programs that can allow much less. Conventional financing can have low-down-payment options. FHA commonly uses a 3.5% minimum down payment. Eligible VA and USDA borrowers can have zero-down-payment options. Jumbo financing can sometimes be available with much less than the large down payments people assume, although requirements vary significantly by lender and file.

The point is not that everyone should put the minimum down. The point is that your down payment should be part of the strategy, not a myth that keeps you from asking questions.

DOWN PAYMENT	CLOSING COSTS
The amount of your own or eligible sourced funds that goes toward the purchase price.	One-time costs charged to complete the mortgage and real-estate transaction, including applicable lender and third-party charges.

Prepaids Are Different

Prepaids are often grouped into 'closing costs' in casual conversation, but they are not the same thing.

Prepaids can include interest collected for the period between closing and the end of the month, the first year of homeowners insurance, and initial reserves required to establish an escrow or impound account when applicable.

That distinction matters because a fee is money charged for a service. A prepaid is money being collected now for an expense you would otherwise owe later.

COMMON THIRD-PARTY COSTS

Examples can include appraisal, title/escrow or settlement charges, recording charges and other transaction-specific services.

Ways Buyers Can Reduce Cash to Close

There are several tools that may reduce how much of your own cash you need at closing. Eligibility and rules vary, so these should be evaluated as part of the complete loan strategy.

- Gift funds - verified funds from an eligible donor with no expectation of repayment.
- Down-payment assistance - often government or housing-agency programs that may help with down payment and/or closing costs. Some are forgivable or deferred; others require repayment.
- Seller credits - negotiated credits from the seller that can offset eligible closing costs. They generally cannot replace the buyer's required down payment, and unused credits do not become cash back to the buyer.
- Lender credits - in some structures, the lender can provide a credit toward eligible closing costs in exchange for the pricing associated with that option.

Don't let the down payment stop you before you know your options.

A Buyer Who Thought They Couldn't Buy

I have seen buyers paying more than $3,000 a month in rent who assumed they could not buy because they did not have a traditional 20% down payment saved.

That is exactly why I want the conversation before the assumption. Once we look at the program, available funds, possible credits and the actual cash-to-close structure, the picture can be very different from what the buyer expected.

Sometimes the answer is still, 'We need to save more.' That is fine. At least now we have a plan instead of a guess.

Individual results and program eligibility vary. This example is for illustration and does not guarantee similar financing terms or savings.

CHAPTER 7

Choosing the Right Mortgage Solution

One of the biggest misconceptions in mortgages is that there is one loan that is better than all the others.

There isn't.

Every buyer has different finances, different priorities and different long-term plans. My job is not to sell you a loan product. My job is to understand what you are trying to accomplish and help you evaluate the financial strategy that fits that goal.

The question I ask every client is: What are your short- and long-term goals?

- Is this your first home or the home you hope to stay in long term?
- How long do you realistically expect to own it?
- Could it become a rental later?
- Do you expect to relocate?
- Do you want to keep as much cash as possible?
- Is the lowest monthly payment the priority?
- Is paying the mortgage off faster important?
- Do you expect your income or family situation to change?

FIRST WE IDENTIFY THE GOAL. THEN WE BUILD THE MORTGAGE SOLUTION AROUND IT.

The Main Loan Families

For most first-time buyers, the conversation usually begins with a few major categories. The exact guidelines change, so the purpose here is to understand what makes each family different - not memorize a rulebook.

CONVENTIONAL	FHA
A common, flexible mortgage family backed by Fannie Mae/Freddie Mac standards. Low-down-payment options can be available. Mortgage insurance is generally part of the structure when required by the loan-to-value and can have paths to removal depending on the loan and applicable rules.	Not just for first-time buyers. FHA can offer more flexibility in certain credit and debt-to-income situations. FHA uses upfront and annual/monthly mortgage-insurance structures under its rules.

A program is not 'good' or 'bad' by itself. The question is whether its strengths solve the problem in your specific file.

VA	USDA
For eligible service members, veterans and certain eligible surviving spouses. VA can offer zero-down-payment financing and generally does not use monthly mortgage insurance. A VA funding fee may apply unless the borrower is exempt. VA also uses residual-income concepts in qualification.	Designed for eligible properties and borrowers under USDA geographic and household-income rules. Eligible transactions can offer zero-down-payment financing. It can be a powerful option when the property and borrower fit the program.

VA is one of my favorite programs because of the value it can provide to eligible military borrowers. It has had an unfair reputation in some markets as being difficult, but a well-qualified VA borrower can be extremely strong.

USDA is different because geography and household income matter. It is not a loan you can use everywhere, but for the right borrower and property it can be excellent.

Jumbo & Specialty Financing

Jumbo loans are mortgages above the applicable conforming loan limits. Because those limits can change and can vary by location, I do not want this book to hard-code a dollar amount that will become outdated.

Jumbo programs can have stronger reserve, credit and debt-to-income expectations, but they can also offer competitive pricing and creative structures depending on the investor.

There is also a large world of specialty or non-QM financing. These programs can be useful when traditional tax-return income does not tell the whole story - especially for some self-employed borrowers or real-estate investors.

- Bank-statement qualification
- 1099 or profit-and-loss based options when available
- DSCR programs for qualifying investment properties based primarily on property cash flow
- Construction financing
- Professional loan programs for eligible occupations
- Other portfolio or specialty structures

These programs have different risks, costs and documentation standards. They are not automatically better because they are 'creative.' They are simply additional tools when the traditional box does not fit.

Fixed Rate vs. Adjustable Rate

FIXED RATE	ADJUSTABLE RATE (ARM)
The note rate is fixed for the term of the mortgage. This creates predictability and can be especially attractive when the property is expected to be held long term.	The rate is fixed for an initial period and can adjust later according to the loan terms. An ARM can make sense in some situations, particularly when the expected holding period is shorter than the initial fixed period.

The decision should not be based on the label. It should be based on the numbers and the plan.

If you know your job is likely to relocate you in four years, a structure fixed for longer than that expected holding period may deserve a look. If you plan to keep the home as a rental for fifteen years, long-term payment certainty may matter much more.

Temporary Buydowns, Points & Seller Credits

There are also features that can change the economics of a mortgage without changing the basic loan family.

A temporary buydown uses funds contributed under the program rules to reduce the borrower's effective payment for a defined early period before returning to the full note-rate payment. The important question is whether you are comfortable with the full payment after the temporary period ends.

Discount points are upfront costs paid to obtain a lower interest rate. One point equals 1% of the loan amount, but one point does not equal a 1% reduction in rate. The actual rate improvement depends on market pricing.

Seller concessions or seller credits can be negotiated to offset eligible closing costs. In the right transaction, a seller credit may preserve more buyer cash than simply negotiating the same dollar amount off the sales price.

> **THE QUESTION I LIKE TO ASK**
>
> What does it cost to get the lower rate, how much does it save each month, and how long does it take to break even?

Strategy Story: The Lowest Rate Wasn't the Best Value

A client once brought me a refinance estimate from an online lender showing a rate that looked dramatically better than mine. At first glance, it looked like an easy decision.

Then we looked at the cost.

The other option required thousands of dollars in points to obtain that lower rate. The client expected to keep the property long term, but also knew a major remodel could require another refinance or equity strategy in roughly three to five years.

When we compared the upfront cost to the monthly savings, the break-even period stretched far beyond the time he expected to keep that exact mortgage. Paying a large premium today for savings he might never fully receive did not fit his plan.

That is the difference between shopping for a rate and building a strategy.

Strategy Story: Zero Down Wasn't Automatically Better

Another client was excited about a specialty professional program offering zero down, but the available structure at the time used an adjustable rate.

His long-term plan was to live in the home for a few years, buy another home, and keep the first property as a rental. Once we talked through that plan, the future adjustment risk mattered much more.

He had the ability to put 5% down. We evaluated a 30-year fixed conventional structure instead. It required more cash upfront, but it gave him a predictable payment that could stay with the property if it later became a rental.

The 'best' option changed when we looked beyond closing day.

Questions to Ask Before Choosing the Loan

- What matters more: keeping cash or lowering the payment?
- How long do I expect to keep this property?
- Could this home become a rental?
- How long do I expect to keep this exact mortgage?
- Am I comfortable with payment changes later?
- What is the cost to obtain the rate I am being quoted?
- What is the break-even period on points or other upfront costs?
- Does this strategy still make sense if my plans change?

> **THE HERBERT TEAM PHILOSOPHY**
>
> More Than a Mortgage. A Mortgage Solution.

CHAPTER 8

Finding the Right Home

Will this house still work for the life you're building?

Once you are preapproved, the fun part begins: you get to start looking at homes.

This is where the mortgage side intentionally takes a back seat. I can help you understand what a property does to the payment and whether a particular property type creates financing considerations, but choosing the actual house is about your life.

Is a third bedroom important because you work from home? Is a fourth bedroom worth giving up a larger yard? Are schools important now, or could they become important in three years? How long is the commute? Is the property likely to be a five-year home or a fifteen-year home?

- Bedrooms and bathrooms
- Yard and outdoor space
- Schools and future school needs
- Commute and location
- Work-from-home space
- Age and condition of the property
- HOA dues and rules
- How long you expect to stay
- Potential to keep the home as a rental
- Future family changes

JASON'S TAKE

Don't just buy for the life you have today. Think about the life you're likely to have while you own the home.

Condo vs. Townhome

A condominium is a legal form of ownership in which the buyer owns a unit and shares an interest in common elements according to the governing documents. The HOA or condominium association typically manages common areas and certain exterior responsibilities.

A townhome describes a style of property - usually attached, often multi-level - but the legal ownership structure can vary. A property that looks like a townhome can even be legally structured as a condominium.

That distinction matters because the ownership documents, HOA responsibilities, insurance structure and financing review can differ. Your real estate agent, title/settlement professionals and lender can help identify how the specific property is structured.

CHAPTER 9

You Found the House: What Happens Next?

Once your offer is accepted, two tracks start moving at the same time.

On the real-estate side, you and your agent are working through contract deadlines, inspections and due diligence. On the mortgage side, we are moving the loan and the property toward full underwriting and final approval.

The key is that these tracks have to stay coordinated. A missed contract deadline can matter just as much as a missing underwriting document.

FROM OFFER TO KEYS

Offer Accepted → Earnest Money / Contract Deadlines → Inspections & Due Diligence → Underwriting → Appraisal → Remaining Conditions → Final Approval → Closing → Keys

Earnest Money & Option Money

Earnest money is a deposit made under the purchase contract. It demonstrates the buyer's intent and is held and applied according to the contract and settlement process. At closing, it is generally credited in the transaction rather than becoming an extra cost on top of everything else.

Whether earnest money is refundable depends on the purchase contract, applicable deadlines and the circumstances of cancellation. This is a contract question, so your real estate agent should guide you through the exact rights and deadlines.

Texas transactions can also include option money associated with an option period. That is a Texas-specific contract concept and the amount and treatment should be explained by your agent based on the actual contract.

CHAPTER 10

Home Inspection vs. Appraisal

INSPECTION ≠ APPRAISAL

HOME INSPECTION = CONDITION	APPRAISAL = VALUE / COLLATERAL
A home inspector evaluates the physical condition of the property and may identify defects, maintenance concerns, safety issues or items that deserve additional evaluation.	An appraiser provides an opinion of value and helps the lender evaluate the property being used as collateral for the mortgage.

The home inspection is primarily for you. It helps you better understand what you are buying.

The appraisal is primarily part of the lending process. It is not a substitute for a home inspection and it is not designed to give you a complete list of everything that may need repair.

Both are important. They simply answer different questions.

The inspection helps you understand what you're buying. The appraisal helps us evaluate what we're lending against.

CHAPTER 11

Closing Costs, Prepaids & Cash to Close

This is one of the most confusing parts of buying a home because several different buckets of money all show up near the same time.

The easiest way to understand it is to separate them.

DOWN PAYMENT	CLOSING COSTS
Money going toward the purchase price.	Applicable lender and third-party costs charged to complete the mortgage and real-estate transaction.

PREPAIDS

Amounts collected upfront for applicable future expenses such as prepaid interest, the first year of homeowners insurance and initial escrow reserves.

How Cash to Close Comes Together

DOWN PAYMENT + CLOSING COSTS + PREPAIDS - CREDITS - ELIGIBLE DEPOSITS/FUNDS = ESTIMATED CASH TO CLOSE

Cash to close is not another fee. It is the final amount needed to satisfy the transaction after all applicable charges, credits, deposits and eligible funds are accounted for.

That can include subtracting earnest money already deposited, applicable seller or lender credits, gift funds, down-payment assistance or other eligible funds depending on how the transaction is structured.

In some situations, a buyer using an eligible zero-down-payment program with enough allowable credits may need very little of their own cash at closing. In other situations, a buyer intentionally making a large down payment can bring a significant amount. The number depends on the transaction.

CHAPTER 12

Property Taxes, Insurance & Your Real Housing Payment

YOUR MORTGAGE PAYMENT MAY BE MORE THAN PRINCIPAL + INTEREST

Property taxes are charges assessed by local taxing authorities. The amount can vary dramatically from state to state, county to county and even between nearby neighborhoods because the taxing structure and assessed/taxable values can differ.

Homeowners insurance protects against covered property losses such as fire and other covered damage or theft, subject to the policy. Premiums can vary based on location, age and characteristics of the home, coverage choices and insurer.

Flood-insurance requirements depend on factors including the property's flood-zone determination and applicable lending requirements. The initial insurance numbers used during preapproval are often estimates because the buyer ultimately shops for the actual policy.

JASON'S TAKE

Don't compare homes using only principal and interest. Compare the whole housing expense.

CHAPTER 13

Interest Rate vs. APR

INTEREST RATE	APR
The rate used to calculate interest on the loan and a major driver of the principal-and-interest payment.	A standardized disclosure intended to reflect the cost of credit by incorporating the interest rate and certain finance charges.

A LOWER RATE DOESN'T AUTOMATICALLY MEAN A BETTER DEAL.

A lender can sometimes show a lower interest rate by charging more upfront. That does not automatically make the option wrong - it simply means you need to compare the cost against the benefit.

Ask: What is the rate? What is the payment? What does it cost to obtain that rate? Are there discount points? How long do I expect to keep this mortgage? How long does it take the monthly savings to recover the upfront cost?

If rates or your circumstances change later, we can evaluate whether refinancing makes financial sense. That is a future decision, not something we should assume today.

> **JASON'S TAKE**
>
> Buy based on your life and your numbers - not a prediction about where rates might go next.

CHAPTER 14

What NOT to Do After You're Preapproved

A preapproval is based on a snapshot of your financial situation. If you change that snapshot, the approval can change too.

That does not mean you are forbidden from living your life. It means major financial changes should be discussed before you make them, not after.

- Do not go buy or finance a new car without talking to your loan officer first.
- Do not open new credit cards or personal loans just because the store offers a discount.
- Do not finance a house full of furniture before closing.
- Do not co-sign debt for someone else without discussing the impact.
- Do not spend money you planned to use for closing.
- Do not change jobs, compensation structure or employment status without a conversation first.
- Do not make major unexplained deposits or move large amounts between accounts without understanding the documentation that may be needed.

> **JASON'S RULE**
>
> Before you change your job, credit, debt, income or assets while buying a home - call me first.

CHAPTER 15

Final Approval, Signing & Getting the Keys

Closing day can look different depending on where you are in the country and how the settlement process works.

In Texas, buyers commonly sign through a title/settlement office and keys are released according to the transaction's closing and funding requirements. In California, signing may occur before the transaction records, with closing and key release happening after recording. Those are examples - your actual process depends on the state and transaction.

You will need acceptable identification because documents are being notarized. You also need to be able to knowingly sign the documents, so closing is not the time to celebrate early with alcohol or anything else that could impair judgment.

> **STOP: BEFORE YOU WIRE MONEY**
>
> Never send closing funds based solely on wiring instructions received by email. Independently contact the title, escrow or settlement company using trusted contact information and verbally verify the instructions. Treat last-minute changes as suspicious until independently verified.

I also prefer that buyers follow the settlement company's instructions early enough that the required funds are not being rushed at the last minute. A wire delay is a terrible reason to delay getting your keys.

CHAPTER 16

When Is My First Mortgage Payment Due?

Mortgage interest is generally paid in arrears. When you make a regular mortgage payment, the interest portion generally covers interest that accrued during the prior month.

That creates a first-payment timeline that surprises many first-time buyers.

> **EXAMPLE: CLOSE MAY 15**
>
> At closing, applicable prepaid interest is collected from the closing date through the end of May. June becomes the first full month of the mortgage. The first scheduled payment in this example is July 1.

People sometimes call this 'skipping a payment,' but that is not really what is happening. The interest is not free. The timing is simply different because of how mortgage interest is collected.

Your actual first-payment date will be clearly shown in your loan documents.

CHAPTER 17

You Got the Keys. Now What?

Closing is not where I want the relationship to end.

Before your first mortgage payment, I like to check in and make sure you know where and how to make the payment and see how the new house is treating you.

Around 90 days, I like to reconnect. By then you have usually discovered the first round of projects, repairs or ideas for the home.

At six months and twelve months, I want to know whether your plans or goals have changed. Maybe the house is perfect. Maybe you are already thinking about an addition, an investment property, a move, or a different financial goal.

THE FOLLOW-UP RHYTHM

Closing → Before First Payment → 90 Days → 6 Months → 12 Months → Ongoing mortgage resource

I don't want to be the person you talked to once when you needed a loan. I want to be the mortgage resource you call when your life changes.

If market conditions or your circumstances change, we can evaluate whether refinancing or another mortgage strategy makes financial sense. The point is not to refinance for the sake of refinancing. The point is to keep the mortgage aligned with your goals.

CHAPTER 18

Jason's Three Rules

RULE #1

DON'T LET THE DOWN PAYMENT STOP YOU BEFORE YOU KNOW YOUR OPTIONS.

There may be low-down-payment, eligible zero-down-payment, gift-fund, seller-credit or assistance strategies depending on the situation. Find out what is possible before assuming you cannot buy.

RULE #2

DON'T CREATE NEW DEBT WHILE YOU'RE TRYING TO BUY A HOME.

The new car, furniture financing or credit card can wait until we know it will not jeopardize the approval.

RULE #3

TELL YOUR LOAN OFFICER EVERYTHING.

Income changes. Job changes. Debt. Properties you own. Child support. Business ownership. Money moving between accounts. Whatever the puzzle piece is, tell me early so we can put it in the right place.

There are very few mortgage problems that get easier by discovering them at the last minute.

Give me all the puzzle pieces. Let me help put them together.

First-Time Homebuyer Roadmap

BEFORE YOU SHOP

- ☐ Talk through your goals and timeline
- ☐ Complete the application
- ☐ Provide requested documents
- ☐ Review preapproval and comfortable payment
- ☐ Understand estimated cash to close

WHILE YOU SHOP

- ☐ Work closely with your real estate agent
- ☐ Compare the whole housing expense
- ☐ Think about today's needs and future needs
- ☐ Ask questions before making major financial changes

OFFER ACCEPTED

- ☐ Track contract deadlines
- ☐ Deliver earnest/option money as applicable
- ☐ Complete inspections and due diligence
- ☐ Keep lender updated on property and contract changes

First-Time Homebuyer Roadmap (continued)

BEFORE CLOSING

- ☐ Respond quickly to underwriting conditions
- ☐ Complete appraisal requirements
- ☐ Avoid unapproved job, credit, debt or asset changes
- ☐ Review final numbers
- ☐ Verify closing funds safely

CLOSING DAY

- ☐ Bring acceptable identification
- ☐ Sign the final documents
- ☐ Follow settlement instructions for funds
- ☐ Ask questions before signing anything you do not understand
- ☐ Get the keys when the transaction requirements are complete

AFTER CLOSING

- ☐ Confirm your first-payment date
- ☐ Keep your closing and mortgage documents
- ☐ Set up payment access
- ☐ Budget for home maintenance
- ☐ Call when your plans, goals or finances change

10 Things Every First-Time Buyer Should Remember

1. Start with your goals, not a house.

2. Know the difference between what you can qualify for and what you want to spend.

3. Do not disqualify yourself based on assumptions about credit.

4. You do not automatically need 20% down.

5. Do not compare mortgages by interest rate alone.

6. Inspection and appraisal answer different questions.

7. Cash to close is a combination of transaction obligations minus applicable credits, deposits and eligible funds.

8. Protect your preapproval by discussing major financial changes before making them.

9. Verify wiring instructions independently.

10. Choose the mortgage strategy based on your goals - not simply the loan product somebody wants to sell you.

Final Thoughts

YOUR GOALS.

YOUR NUMBERS.

YOUR OPTIONS.

Start there. Build the mortgage strategy around them.

You do not need to know which loan program you want before we talk. You do not need to know exactly how much to put down. You do not need to know whether your credit is 'good enough.'

You need to know what you are trying to accomplish.

From there, we can look at the numbers, evaluate the options and build a mortgage strategy that makes sense for the life you are trying to create.

Ready to Start Your Home-Buying Plan?

You don't need to have everything figured out before we talk. That's what the conversation is for.

STEP 1

Tell me what you're trying to accomplish.

STEP 2

We'll review your numbers and options.

STEP 3

We'll build the mortgage strategy around your goals.

START YOUR HOME-BUYING PLAN

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Important Information

This Playbook is for general educational and informational purposes only. It is not a commitment to lend, an offer of credit, or a substitute for individualized mortgage, financial, legal, tax, insurance or real-estate advice.

Loan programs, guidelines, rates, costs, credit requirements, down-payment requirements, assistance programs and eligibility can change and vary by borrower, property, transaction and location. Examples are illustrative and do not guarantee results.

All mortgage financing is subject to applicable credit approval, verification, underwriting, property requirements and program guidelines in effect at the time of application.

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More Than a Mortgage. A Mortgage Solution.